



FINANCING GUIDE / 08

Invoice Factoring & Accounts Receivable Financing

A practical guide to converting eligible receivables into working capital instead of waiting for customers to pay.

Invoice factoring and accounts-receivable financing are asset-based cash-flow tools. Rather than relying only on the business owner's personal credit, the financing source may place substantial emphasis on the quality of the invoices, the creditworthiness of the customers who owe them, invoice aging, concentration, and the likelihood of collection.

In a factoring structure, eligible receivables may be purchased or advanced against and the factor typically collects payment from the account debtor. Other A/R facilities may operate as revolving lines secured by eligible receivables.

Common use cases

- Bridge 30-90 day customer payment terms
- Fund payroll and vendor costs while invoices remain outstanding
- Support rapid growth in B2B sales
- Improve cash conversion without waiting for receivables
- Finance eligible medical receivables owed by third-party insurers

HOW LENDERS LOOK AT IT

What typically drives the financing decision

Account debtors

Customer quality, creditworthiness, payment history, and whether invoices are owed by businesses, government entities, insurers, or other eligible debtors.

A/R quality

Invoice aging, disputes, dilution, offsets, concentration, and whether the receivables are valid and collectible.

Volume

Monthly sales, current A/R balance, ongoing invoice generation, and the amount of eligible receivables available.

Industry

Some factoring programs specialize by industry; medical factoring, for example, can involve expected collectible values from third-party insurance receivables.

PREPARING YOUR REQUEST

What to have ready

Requirements vary by program, but a complete and organized package helps FLS identify the right path and reduces unnecessary back-and-forth.

Receivables

Current A/R aging, customer list, sample invoices, invoice terms, and concentration information.

Support

Contracts, purchase orders, proof of delivery/performance, or other documentation supporting invoice validity when requested.

Business

Application, entity/ownership information, bank statements, and financial statements depending on facility size/type.

PROCESS

From request to funding

1 Identify the A/R pool

Identify who owes the invoices and the current eligible A/R pool.

2 Review the receivables

Review aging, concentration, invoice terms, disputes, and customer quality.

3 Choose the structure

Determine whether factoring or an A/R revolving facility is the better structure.

4 Verify & underwrite

Complete verification, underwriting, and account-debtor setup/notice requirements as applicable.

5 Advance & fund

Advance/fund eligible receivables according to the approved facility.

WHAT CAN STRENGTHEN THE REQUEST?

Diversified creditworthy customers, clean invoice aging, low disputes/dilution, recurring B2B sales, and good documentation can strengthen an A/R facility.

Find the right invoice factoring & accounts receivable financing path

FLS Capital Advisors works across multiple financing sources rather than forcing every request into one program. Answer a few questions about your business and financing objective, and a specialist will review the paths that may fit.

flscapitaladvisors.com/start Talk with a specialist: flscapitaladvisors.com/contact

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